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## Kuaishou Technology | Asia Pacific

# Kling seeks independent financing at US\$20bn

According to [The Information](#) website (11 May), Kuaishou is seeking independent listing of Kling at a valuation of US\$20bn, which implies an ARR multiple of 20x assuming its ARR reaches US\$1bn by the end of the year. This compares to AI model peers Minimax at 30x and Zhipu at ~60x. The valuation is significantly higher than our Kuaishou SOTP valuation of US\$6bn for Kling (20x 2026e P/S).

We note Kuaishou's 15ppt outperformance over the HS Tech Index in the past three trading days.

We think that the deal could unlock significant value for Kuaishou if it materializes, given that the market values pure AI players at a much higher multiple.

If we apply 8x 2026e P/E to Kuaishou's core business (adjusted for the loss from Kling) and the reported US\$20bn value for Kling with a 30% holdco discount, we arrive at Kuaishou value of HK\$68 per share (vs. the last closing price of HK\$51.6 and our bull case value of HK\$72). Or, its current market cap implies core business 2026e P/E of 5x based on the same set of assumptions.

Kuaishou has no comment on this news report.

MORGAN STANLEY ASIA LIMITED+

Yang Liu

Equity Analyst

Yang.Liu@morganstanley.com

+852 2239-1911

Tom Tang

Equity Analyst

Tom.Tang@morganstanley.com

+852 3963-1860

Gary Yu

Equity Analyst

Gary.Yu@morganstanley.com

+852 2848-6918

### Kuaishou Technology (1024.HK, 1024 HK)

#### China Internet and Other Services | China

| Stock Rating                    | Equal-weight    |
|---------------------------------|-----------------|
| Industry View                   | Attractive      |
| Price target                    | HK\$55.00       |
| Up/downside to price target (%) | 7               |
| Shr price, close (May 11, 2026) | HK\$51.60       |
| 52-Week Range                   | HK\$92.60-41.92 |
| Sh out, dil, curr (mn)          | 4,496           |
| Mkt cap, curr (mn)              | Rmb201,527      |
| EV, curr (mn)                   | Rmb182,482      |
| Avg daily trading value (mn)    | HK\$2,718       |

| Fiscal Year Ending         | 12/25  | 12/26e | 12/27e | 12/28e |
|----------------------------|--------|--------|--------|--------|
| EPS (Rmb)**                | 4.69   | 3.93   | 4.47   | 4.50   |
| Prior EPS (Rmb)**          | -      | -      | -      | -      |
| Revenue, net (Rmb bn)      | 143    | 148    | 160    | 169    |
| EBITDA (Rmb bn)            | 26     | 26     | 32     | 35     |
| ModelWare net inc (Rmb bn) | 19     | 14     | 16     | 17     |
| P/E                        | 13.6   | 14.3   | 12.2   | 12.1   |
| P/BV                       | 3.2    | 2.0    | 1.7    | 1.5    |
| RNOA (%)                   | 35.2   | 18.3   | 17.1   | 16.8   |
| ROE (%)                    | 30.0   | 17.3   | 16.8   | 14.2   |
| EV/EBITDA                  | 9.1    | 6.9    | 5.1    | 4.2    |
| Div yld (%)                | 0.0    | 0.0    | 0.0    | 0.0    |
| FCF yld ratio (%)**        | 3.9    | 0.0    | 5.6    | 5.8    |
| Leverage (EOP) (%)         | (24.0) | (23.6) | (33.3) | (41.2) |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### Kuaishou Technology (1024.HK)

Base case, discounted cash flow model - key assumptions include a 12% WACC and 2% perpetual growth rate. We also accounted for the valuation of Kling at 20x P/S, the valuation for top software companies globally.

#### Risks to Upside

- Better-than-expected MAU growth.
- Improving ad revenue per DAU.
- Lower-than-expected sales and marketing expenses, leading to higher margins.
- Faster monetization of other revenue, overseas expansion.

#### Risks to Downside

- Lower-than-expected advertising revenue growth.
- Lower-than-expected margins owing to revenue sharing, S&M and overseas expansion.
- Lower-than-expected MAU growth owing to competition, scale-back of S&M.

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1546              | 42%        | 467                              | 51%            | 30%                  | 709                                               | 44%                   |
| Equal-weight/Hold     | 1568              | 43%        | 358                              | 39%            | 23%                  | 715                                               | 44%                   |
| Not-Rated/Hold        | 4                 | 0%         | 0                                | 0%             | 0%                   | 1                                                 | 0%                    |
| Underweight/Sell      | 555               | 15%        | 84                               | 9%             | 15%                  | 202                                               | 12%                   |
| Total                 | 3,673             |            | 909                              |                |                      | 1627                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Kuaishou Technology (1024.HK) - As of 05/11/26 GMT in HKD  
Industry : China Internet and Other Services



Stock Rating History: 5/1/21 : 0/A; 7/9/21 : U/A; 9/20/21 : U/I; 11/24/21 : E/I; 2/28/22 : 0/I; 7/4/24 : E/I; 2/24/25 : E/A

Price Target History: 3/11/21 : 350; 5/25/21 : 300; 7/9/21 : 130; 7/23/21 : 120; 8/26/21 : 60; 11/24/21 : 105; 2/28/22 : 120; 3/21/22 : 110; 4/22/22 : 100; 10/20/22 : 70; 11/8/22 : 60; 1/9/23 : 95; 1/18/23 : 90; 2/22/23 : 85; 10/31/23 : 80; 12/11/23 : 70; 7/4/24 : 55; 7/25/24 : 50; 11/21/24 : 48; 3/26/25 : 58; 5/14/25 : 60; 7/30/25 : 67; 8/22/25 : 76; 11/20/25 : 74; 12/22/25 : 73; 3/26/26 : 55

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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## INDUSTRY COVERAGE: China Internet and Other Services

| COMPANY (TICKER)                    | RATING (AS OF) | PRICE* (05/08/2026) |
|-------------------------------------|----------------|---------------------|
| <b>Eddy Wang, CFA</b>               |                |                     |
| Autohome Inc (ATHM.N)               | E (02/09/2023) | US\$19.00           |
| Full Truck Alliance Co. Ltd (YMM.N) | O (07/05/2023) | US\$8.81            |
| JD.com, Inc. (JD.O)                 | U (11/10/2025) | US\$30.13           |
| Kanzhun Ltd (BZ.O)                  | O (08/04/2021) | US\$14.02           |
| KE Holdings Inc (BEKE.N)            | O (03/16/2022) | US\$18.87           |
| PDD Holdings Inc (PDD.O)            | O (03/02/2023) | US\$98.78           |
| Vipshop Holdings Ltd (VIPS.N)       | E (02/24/2022) | US\$14.46           |
| <b>Gary Yu</b>                      |                |                     |
| Alibaba Group Holding (BABA.N)      | O (02/24/2025) | US\$140.06          |
| Baidu Inc (BIDU.O)                  | E (05/17/2024) | US\$141.05          |
| Meituan (3690.HK)                   | O (08/29/2024) | HK\$84.35           |
| Tencent Holdings Ltd. (0700.HK)     | O (03/19/2020) | HK\$464.40          |
| <b>Rebecca Xu</b>                   |                |                     |
| HUYA Inc (HUYA.N)                   | E (05/16/2024) | US\$3.10            |
| IQIYI Inc (IQ.O)                    | E (01/19/2023) | US\$1.20            |
| JOYY Inc. (JOYY.O)                  | E (06/02/2022) | US\$58.88           |
| Weibo Corp (WB.O)                   | U (05/17/2024) | US\$8.49            |
| <b>Yang Liu</b>                     |                |                     |
| Bilibili Inc (BILI.O)               | O (04/13/2026) | US\$22.06           |
| Kuaishou Technology (1024.HK)       | E (07/04/2024) | HK\$51.60           |
| NetEase, Inc (NTES.O)               | O (01/08/2025) | US\$115.91          |
| Tongcheng Travel Holdings (0780.HK) | O (01/04/2019) | HK\$17.82           |
| Trip.com Group Ltd (TCOM.O)         | O (05/17/2021) | US\$52.68           |

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\* Historical prices are not split adjusted.



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